A half dozen of the interviews I did for this volume were not used because they fell short in one or more of these categories.

Over longer-term intervals (e.g., 10 years, 15 years), hedge funds consistently outperform equity indexes and mutual funds.[1] The typical pattern is that hedge funds, as a group, will have modestly higher returns, but far lower volatility and equity drawdowns. It is ironic that in terms of any type of risk measure, hedge funds, which are widely viewed as highly speculative, are actually much more conservative than traditional investments, such as mutual funds. It is primarily as a consequence of lower risk that hedge funds tend to exhibit much better return/risk performance than mutual funds or equity indexes. Moreover, with rare exception, the best managers are invariably found within the hedge fund world. This fact is not surprising because one would expect the incentive fee structure of hedge funds to draw the best talent.

When I conducted the interviews for my first two *Market Wizard* books (1988–1991), hedge funds were still a minor player in the world investment scene.[2] Based on estimates by Van Hedge Fund Advisors, total industry assets under management during that period were in the approximate $50 billion to $100 billion range. Since that time, however, hedge fund growth has exploded, expanding more than twentyfold, with the industry currently managing in excess of $2 trillion. The impact of hedge fund trading activity far exceeds its nominal size because hedge fund managers trade far more actively than traditional fund managers. The enhanced role of hedge funds has itself influenced market behavior.

With hedge funds accounting for a much larger percentage of trading activity, trading has become more difficult. In some strategies, the effect can clearly be seen. For example, systematic trend-followers did enormously well in the 1970s and 1980s when they accounted for a minority of futures trading activity, but their return/risk performance declined dramatically in subsequent decades, as they became a larger and larger part of the pool. Too many big fish make it more difficult for other big fish to thrive.

Even if one does not accept the argument that the greater role of hedge funds has made the game more difficult, at the very least, it has made the game different. Markets change and good traders adapt. As hedge fund